

Outlook

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The model may be learning from events that happen after prediction - 2024 control review

Team,

Before this becomes another standing report, can we answer the real question?

The proposed repayment-stress model combines monthly snapshots, and Model Risk needs proof that every feature existed at the observation date. The possible stories are that monthly snapshots duplicate later knowledge, that performance is stable after strict time-based validation, or that status or collections fields leak future outcomes.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use December 2024 as the new evidence point rather than recycling the earlier conclusion. Please start with the decision we need to make, then show whether the available evidence is strong enough to support it.

Please prepare a Power BI page with drill-through to a reproducible case list. The output must help us decide whether the model can enter validation or must return to feature engineering.

Data available: the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments; monthly account snapshots, status events, limits, product enrolments and signatories.

Please state the limitation plainly: Use out-of-time validation and preserve event timestamps; do not random-split repeated observations of the same customer.

Thanks